

Motor & Equipment Manufacturers Association

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Maria A. Pallante
Register of Copyrights
U.S. Copyright Office
Library of Congress
101 Independence Ave., SE
Washington, DC 20559-6000

RE: Software-Enabled Consumer Products Study: Notice and Request for Public Comment; U.S. Copyright Office Notice of Inquiry [Docket No. 2015-6]

Dear Ms. Pallante:

The Motor & Equipment Manufacturers Association (MEMA) represents vehicle suppliers that manufacture and remanufacture components and systems for use in passenger cars and heavy trucks providing original equipment (OE) to new vehicles as well as aftermarket parts to service, maintain and repair over 256 million vehicles on the road today. Suppliers are the largest employers of manufacturing jobs in the U.S. directly employing over 734,000 Americans with a total employment impact of 3.6 million jobs. Our members lead the way in developing advanced, transformative technologies that enable safer, smarter and more efficient vehicles, all within a rapidly growing global marketplace with increased regulatory and customer demands. MEMA represents vehicle suppliers through the following four divisions: Automotive Aftermarket Suppliers Association (AASA), Heavy Duty Manufacturers Association (HDMA), Motor & Equipment Remanufacturers Association (MERA) and Original Equipment Suppliers Association (OESA).

MEMA is encouraged by the Notice and Request for Public Comment on the operation of Section 1201 of Title 17. Motor vehicle suppliers work closely with vehicle manufacturers to provide the cutting edge, innovative systems and components to consumers. In order to meet regulatory requirements and consumer demand for safer, cleaner, and more connected vehicles, motor vehicle parts manufacturers and remanufacturers have increasingly taken on a significant role in the research, development, engineering, and manufacturing of the advanced technologies necessary to meet these ever-increasing goals. In fact, suppliers are responsible for two-thirds of the value of today's automobiles, and many vehicle technologies produced for new cars are manufactured by the same suppliers that make parts for the aftermarket. As vehicles continue to become more sophisticated, the number of sensors and software enabled devices will grow. As it stands, there are 60 to 100 sensors in the average vehicle today.

The U.S. automotive light vehicle aftermarket is a \$246.7 billion industry that includes manufacturing, remanufacturing, distribution, retailing, and installation of all vehicle parts, chemicals, tools, equipment, and accessories. Most automotive aftermarket maintenance and repair work takes place in independent repair shops or at vehicle manufacturers' dealerships,



with the latter often referred to as OE Service. There is also a significant “do-it-yourself” market, which comprises individuals who perform their own vehicle repair and maintenance. Since 1982, vehicles have been equipped with computers and electronics to control drivability and fuel efficiency, and aftermarket manufacturers, remanufacturers and independent service repair outlets have demonstrated their ability to service and maintain these technologies. More and more, many vehicle components are connected and enabled by the software and programming that make them functional.

Remanufacturing is a growing segment of the aftermarket that utilizes standardized industrial processes by which previously worn or non-functional products are returned to the same-as-new, or better, condition and performance as the original components. Remanufacturing processes incorporate technical specifications (including engineering, quality and testing standards) to yield fully warranted products. Examples of remanufactured components in the motor vehicle parts industry include: electronic control units (black box and other electronic modules), brakes, steering and suspension components, engines, transmissions, alternators, starters, and turbochargers. Remanufacturing preserves the value of the original manufacturing – including energy costs and investments in capital and labor inputs – which recycling alone cannot do. As such, remanufactured parts are about thirty percent less expensive than comparable new parts.

In the U.S., the average age of light vehicles (passenger cars and pick-up trucks) is 11.5 years, and the owners of these vehicles often demand cost-effective solutions for their maintenance and repair needs.¹ As such, the independent aftermarket (e.g. independent repair shops and local repair technicians) has about 70 percent of the service bay capacity to maintain and repair passenger vehicles. In contrast, new vehicle dealers only represent about 28 percent of the service bays.² Therefore, consumers have come to rely on the independent aftermarket to provide both quality repair parts and related services.

However, U.S. copyright laws, and specifically, the anti-circumvention and anti-trafficking provisions of Section 1201, currently severely limits the ability of consumers to have their vehicles serviced and repaired with the software-enabled component of their choice – whether new aftermarket or remanufactured – in the independent aftermarket. The access to vehicle software is necessary in the course of diagnosis and repair of a vehicle. For example, repairs that replace hardware components may require use of the software.

The Librarian of Congress’s 2015 DMCA Section 1201 Rules did grant exemptions for those vehicle owners who wish to repair or modify their own vehicles. However, vehicle owners must also retain the freedom of choice regarding the servicing and repair of their vehicles by third parties. This freedom has existed for more than 100 years, well before the employment of technological protection measures (“TPMs”) in vehicles. In order to do this, the independent aftermarket must also have the freedom to repair and maintain vehicles, which will more often than not include access to vehicle software.

¹ Source: IHS, July 29, 2015.

² New vehicle dealers represent about 14 percent of the total automotive service outlets in the U.S.

However, the Librarian's most recent DMCA exemptions specifically excluded TPM circumvention "on behalf of" vehicle owners by third parties, out of concern that such an exception would be "in tension with the anti-trafficking provisions of Section 1201(a)(2) and (b)." It is the position of MEMA that such service and repair technicians act as the agent of the vehicle owner, who are permitted to engage in such service repair as a matter of fair use or under Section 117.

To the extent that the U.S. Copyright Office nonetheless finds that creating an exemption for third party repairs would still be in tension with the anti-trafficking provisions of Section 1201, then MEMA respectfully suggests amending Section 1201 to allow for the adoption of exemptions to the prohibition on circumvention that can also extend to the exemptions to the anti-trafficking prohibitions. Thus, the Register should recommend, and the Librarian should be permitted to adopt, exemptions that permit third-party assistance when justified by the record. In this instance, creating an exemption for vehicle owners to engage in self-diagnosis, maintenance, or repair, but not for third party service and repair technicians to do so on their behalf, creates the counterintuitive result that those vehicle owners who lack the knowledge or ability to engage in self-diagnosis or repair is left with no choice but to return to the vehicle manufacturer, often at a much higher cost than going to an independent service provider. When vehicle repairs are more expensive and less convenient, owners may in turn choose to forego frequent maintenance, which means vehicles may fall into disrepair, endangering other drivers on the road, pedestrians, and property – as well as the driver of the vehicle. Ensuring the public safety of citizens should be taken into account in evaluating the operation of Section 1201.

Aftermarket parts manufacturers have faced legal action from vehicle manufacturers alleging Section 1201 violations infringement of copyright laws for the sale of remanufactured software-enabled modules. These actions are often associated with much higher costs for consumers because they force vehicle owners or independent service providers to go to the vehicle manufacturers as the only option for repair parts, resulting in higher prices, longer trips, and fewer options. The choice of purchasing a remanufactured or new aftermarket component – in either the independent aftermarket or OE Service channel – should remain the decision of the consumer. This choice is often driven by many factors, including the consumer's preference, his or her budget, and the age of the vehicle. Frequently, in the independent aftermarket, a standard repair part may be available but a more sophisticated part is not (see Exhibit #1). In addition, the independent aftermarket has seen a growing number of replacement parts redesigned with sensors or micro-computers with alleged TPM protection. For example:

- Blower motors redesigned after Model Year 2005;
- Clock spring components for air bag assemblies redesigned after Model Year 2010; and,
- Window switches redesigned after Model Year 2006.

These are not necessarily high technology components, but they are components that consumers may need to replace over the life of their vehicles. Section 1201 should not act as a limit to consumers' options of repair parts and service – a freedom of consumer choice that has

absolutely nothing to do with copyright laws. Moreover, copyright laws should not act as an anti-competitive measure that works to drive up pricing while limiting choice. The U.S. Copyright Office should encourage policies that protect consumer choice of both components and service location and allow for a level playing field for all participants. This ensures convenience, affordability and a competitive market.

By limiting the choices of consumers, vehicle manufacturers are forcing consumers into a more restrictive (and often more expensive) service and repair decision. Unlike other products, consumers can plan to retain their vehicles for many years, making the best of initial investments and opportunities at the time of resale. Section 1201 should not be used to force consumers into potentially more expensive repair and service models, thereby diminishing the overall value of their vehicles.

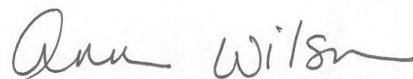
As consumer, regulatory and legislative demands continue to add more technology to vehicles, including the advent of self-driving cars, the challenges with servicing and repairing them will only become more acute. It is also MEMA's belief that the current triennial Section 1201 rulemaking process can be much streamlined if it is adjusted to provide for the presumptive renewal of previously-granted exemptions. MEMA urges the U.S. Copyright Office to use this Software-Enabled Consumer Products Study as an opportunity to develop a future direction for copyright law that does not create roadblocks or rescind the freedom of choice for consumers to have their vehicles serviced and repaired as they deem appropriate.

MEMA appreciates the U.S. Copyright Office's consideration of our comments. For more information or questions, please contact MEMA Senior Vice President of Government Affairs Ann Wilson at (202) 312-9246 or awilson@mema.org.

Sincerely,



Steve Handschuh
President and CEO



Ann Wilson
Senior Vice President, Government Affairs

Exhibit #1

Window Lift Motor (WLM) Technology

Existing Industry Technology

In Scope for Smart Motor Development

Out of Scope

